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FOCI Fiber Optic Communications Inc | Asia Pacific

We Expect 2Q Earnings to Mark the Near-Term Trough – Stay
OW

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis



Modest upside

Financial results versus consensus



Modest revision higher

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- CPO revenue should start in 3Q, subject to the customer's final schedule.
- The new fab in Thailand, in charge of traditional business manufacturing, has begun equipment move-in, with mass production starting in September.
- We expect a continued revenue climb from July into 2027, as more than one customer enters mass production.
- FOCI will host its on-site earnings call in early September. We expect more details on CPO development and the expansion plan.
- We view 27x 2027e P/E as undemanding.

2Q EPS came in better than feared:

- FOCI reported a loss of NT\$0.23, narrowing from a NT\$0.98 loss in 1Q and beating our estimate of a NT\$0.35 loss.
- Revenue rose 12% Q/Q but fell 27% Y/Y, 7% above our estimate yet 1% below consensus.
- GM slipped Q/Q to 0.2%, reflecting destructive testing impact for its FAU ahead of mass production and overhead from the 24-hour automation FAU line.
- OpM improved to -21.4% from -40.9% in 1Q. 1Q was affected by one-off share issuance expense.

July sales were NT\$171mn, +9% M/M and +12% Y/Y – mainly driven by SiPh NRE revenue.

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FOCI Fiber Optic Communications Inc (3363.TWO, 3363 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	Overweight			
Industry View	Attractive			
Price target	NT\$708.00			
Up/downside to price target (%)	17			
Shr price, close (Aug 6, 2026)	NT\$604.00			
52-Week Range	NT\$1,065.00-265.38			
Sh out, dil, curr (mn)	110			
Mkt cap, curr (mn)	NT\$66,223			
Avg daily trading value (mn)	NT\$2,117			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	0.16	(0.41)	16.36	47.68
Prior EPS (NT\$)**	-	-	-	-
Revenue, net (NT\$ mn)	1,892	1,985	8,694	23,559

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EBITDA (NT\$ mn)	123	32	2,425	6,805
ModelWare net inc (NT \$ mn)	16	(45)	1,794	5,228
P/E	2,885.2	NM	36.9	12.7
P/BV	21.6	27.4	16.1	7.2
ROE (%)	0.6	(1.8)	74.1	127.4
Div yld (%)	0.2	0.2	0.2	0.2

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

Valuation Methodology and Risks

FOCI Fiber Optic Communications Inc (3363.TWO)

Base case, residual income model. Key assumptions: cost of equity of 12.9% (risk-free rate 2.0% and risk premium 6.9%), a payout ratio of 61%, a medium-term growth rate of 16%, and a terminal growth rate of 4.0%.

Risks to Upside

- Faster-than-expected CPO introduction
- More intense geopolitical tension
- Significant AI/cloud capex increase

Risks to Downside

- Slower-than-expected CPO introduction slower than expected
- Easing geopolitical tension
- Significant AI/cloud capex cuts

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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Stock Price, Price Target and Rating History (See Rating Definitions)

FOCI Fiber Optic Communications Inc (3363.TWO) - As of 08/06/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 1/15/25 : O/I; 7/14/25 : O/A

Price Target History: 1/15/25 : 588.65; 3/28/25 : 392.44; 8/13/25 : 407.15; 3/3/26 : 708

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/06/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$79.90
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb361.59
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$123.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$3,660.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$595.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,168.15
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$4,480.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$872.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$453.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$136.70
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$450.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$249.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb75.38
MediaTek (2454.TW)	O (11/28/2025)	NT\$3,920.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb722.70
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$459.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb742.50
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb89.65
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,025.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb106.24
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$445.00
SMIC (0981.HK)	O (10/21/2025)	HK\$65.35
TSMC (2330.TW)	O (02/07/2022)	NT\$2,365.00
UMC (2303.TW)	O (05/19/2026)	NT\$121.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$151.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$382.00
Daisy Dai, CFA		
ASMP T Ltd (0522.HK)	O (07/24/2025)	HK\$161.30
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb58.47

Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb94.40
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb31.16
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb291.05
Innoscence (2577.HK)	E (10/13/2025)	HK\$42.74
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb75.87
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$26.58
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb95.60
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb86.35
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb66.50
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb27.52
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb94.03
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$900.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,410.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$16,750.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$100.00
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$147.50
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb111.02
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb385.00
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$129.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$261.00
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb208.36
Novatek (3034.TW)	U (02/04/2026)	NT\$543.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$125.00
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$605.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$66.60
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$744.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb52.25
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$171.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$125.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$233.50
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb111.90
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb366.33
Tiffany Yeh		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,175.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$604.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$13.35
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,475.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$6,300.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$246.65
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,775.00

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.